

The tip-of-the-pyramid speculative investments should be avoided as you transition into retirement. If you have not made money speculating by now, you are not going to do it in retirement. Let the urge go. Now is the time to be businesslike with your wealth.

Handling Pensions and Social Security

Most retirees will receive some income from Social Security and perhaps a defined-benefit pension plan. How do these incomes work into an asset allocation? Do you treat them as a bond or something else? If you treat them as a bond, how do you price them?

Income that flows from Social Security and defined-benefit plans do not have par values, and they do not have maturities. They pay as long as you are alive. In addition, there is a risk that the cash flows from a pension and Social Security will diminish or stop. Your employer may have to cut pension distributions because of bankruptcy, and no one can possibly predict what Social Security benefits will be paid in the future. I think we can all agree that future benefits are not going to be up to the current level. This makes putting a bond valuation on a pension or Social Security difficult, if not impossible.

Another aspect of these assets is the lack of control. You cannot change the rules, and you cannot “opt out” of the programs. It is wishful thinking to believe that some day you will be able to call the Social Security office and say, “I don’t want to be in the Social Security program anymore. Please send that \$200,000 present value of Social Security benefit to my IRA rollover account, and I’ll manage the money myself.” That is not going to happen in our lifetime. With a defined-benefit plan, your employer may get into financial trouble and a judge from bankruptcy court will decide how much you will get. You have no control over these assets.

Should we view the income streams from these assets as bonds? It does not appear that way to this financial advisor. The variables are too great, and any valuation error can be too large to label these cash-flow streams as fixed income in a portfolio. That being said, retirees have liabilities that have to be paid every month. These liabilities include cash payments for food, shelter, clothing, insurance, automobiles, and a range of other regular expenses. A typical retiree may have about \$72,000 in nondiscretionary expenses each year, which is \$6,000 per month. For the sake of this